TEACHER GUIDE

Cambridge International AS & A Level Business (9609)

Growth and economies of scale



1 Business and its environment (AS Level)
1.3 Size of business · 1.3.3 Business growth; 9.1.2 Scale of operations

A revision lesson. Pupils run a car dealership in firms of four and revise growth and economies of scale on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min | **45 min** | 60 min | 75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Unit cost per car

Round 1

A month of sales.

Unit cost: cost per car sold?

Fixed costs, a month	**£10,800**
Variable costs, a month	**£298,260**
Cars sold a month	**18 cars**

ANSWER

£17,170

(£10,800 + £298,260) ÷ 18 = £17,170

Why: Unit cost is all the costs shared between the cars.

2 Why unit cost rose

Round 1

After a takeover, your cost per car rose.

Which two diseconomies are most likely?

A Poor communication across sites
B Staff less motivated
C Cheaper finance
D Fixed costs spread wider
E Bulk-buying discounts

ANSWER

✓ Poor communication across sites
✓ Staff less motivated

Why: Big firms can lose control and morale; the other three cut costs.

3 Rank unit cost fall

Round 2

Three plans and what they do to cost per car.

Order by % fall in cost per car, biggest first?

A £2,000 down to £1,500
B £8,000 down to £6,800
C £5,000 down to £4,000

ANSWER

1. £2,000 down to £1,500
2. £5,000 down to £4,000
3. £8,000 down to £6,800

Why: Falls of 25%, 20%, 15%: the biggest fall in pounds is the smallest %.

Topic tasks

4 Unit cost, doubled

Round 2

Selling twice as many.

Cost per car if sales double?

Fixed costs, a month	**£16,000**
Variable cost per car	**£13,550**
Cars sold now	**16 cars**

ANSWER

£14,050

£16,000 ÷ 32 + £13,550 = £14,050

Why: The fixed costs are shared by 32 cars, not 16.

5 Stop growing?

Round 3

Each new branch cut your cost per car less, and the last one raised it.

What should you do next, and why?

A Stop growing for now

B Keep growing

ANSWER

✔ **Stop growing for now**

Why: Rising cost per car is a sign of diseconomies of scale.

6 Fixed cost spread %

Round 3

Spread the fixed costs.

Fall in cost per car, to the nearest %?

Fixed costs, a month	**£34,020**
Variable cost per car	**£270**
Cars sold now	**14 cars**
Cars sold after growth	**18 cars**

ANSWER

20%

£2,700 → £2,160; fall 20%

Why: The fixed costs are shared by more cars after growth.

Final questions

Each pupil answers 6 final questions on growth and economies of scale. They come from these 8 questions.

1. A group buys the next town's family dealership, keeping its staff and site. Which type of growth is this, and its main risk?
   ✔ **External, and the risk is merging two ways of working**

2. A dealer group's total costs are £2,400,000 for 600 cars sold. After growth they are £3,500,000 for 1,000 cars. By how much does unit cost fall?
   ✔ **£500**

3. A group of ten dealerships orders tyres together and gets a lower price per tyre. Which economy of scale is this?
   ✔ **Purchasing economies**

4. A large dealer group borrows at a lower interest rate than a single-site dealer can. Which economy of scale is this?
   ✔ **Financial economies**

5. After rapid growth, decisions take weeks and branch staff feel ignored by head office. What is this an example of?
   ✔ **Diseconomies of scale from communication and coordination**

6. A dealer opens a second showroom with its own profits and its own staff. Which type of growth is this?
   ✔ **Organic (internal) growth**

7. Two rival dealer groups in the same region combine into one company. What type of growth is this?
   ✔ **Horizontal integration**

8. A dealer group buys the company that supplies its parts. What is the main gain from this backward vertical integration?
   ✔ **More control over supply and its cost**